

Investment Committee Memo — Access Healthcare, Inc.

To: Investment Committee **From:** Search Fund Analyst (SAMPLE) **Date:** 2026-05-31 **Recommendation:** Approve with conditions **Ask:** \$1.6M equity; acquire 100% at \$5.5M EV (5.0x EBITDA); SBA 7(a) + seller note

⚠ **Illustrative sample** demonstrating the IC-memo template. The operator is real (NPPES); all figures are placeholders.

1. Recommendation & Summary

We recommend approving, subject to conditions, the acquisition of Access Healthcare, Inc. — a \$6.0M-revenue, ~\$1.1M-EBITDA skilled home-health operator in East Providence, RI — at \$5.5M (5.0x) as the **platform** for a Rhode Island home-health roll-up. The thesis is multiple arbitrage plus shared-services margin: buy sub-scale operators at ~4x, integrate onto Access's back-office, and build toward an 8x+ exit. The single biggest risk is reimbursement/payer-mix exposure, which we gate behind a quality-of-earnings and regulatory review.

2. The Opportunity

Access is owner-operated, profitable, and for sale via a regional healthcare M&A advisor with a transition-willing owner. Rhode Island home health is fragmented (185 NPPES providers, no dominant local platform), giving a long add-on runway from a single metro base.

3. What We Must Believe

- 1. Normalized EBITDA is ~\$1.1M** — i.e., owner add-backs survive a QoE review. *Evidence: management accounts; to be validated.*
- 2. Referral base is durable through a change of control** — top sources are institutional, not owner-personal. *Evidence: referral logs; to be validated in diligence.*
- 3. We can source 2–4 tuck-ins/year at ~4x** — the 185-operator base and proprietary outreach support this. *Evidence: NPPES universe + early broker conversations.*

4. Market & Thesis

See sector primer ([output/search-fund/industry/2026-05-31-home-health-rhode-island/](#)). Fragmented market, demographic tailwinds, national strategics (BAYADA, VNA) as eventual exit buyers.

5. The Company

Metric	Value (<i>illustrative</i>)
Revenue (TTM)	\$6.0M
EBITDA (adj.)	\$1.1M (18% margin)
Recurring revenue	78%
Purchase price	\$5.5M (5.0x)

Owner provides clinical + admin oversight but is not the sole rainmaker; a DON and office manager remain. Payer mix ~60% Medicare / 25% Medicaid / 15% commercial. Management bench is thin — a near-term hire is part of the plan.

6. Buy-and-Build Plan

- **Integration & value creation:** centralize scheduling, billing/RCM, compliance, and recruiting; standardize EVV and payer contracting; target +300–600 bps margin over 24 months.
- **Add-on pipeline:** combine skilled home health with non-medical home care and hospice adjacencies in the Providence–Warwick corridor.

Add-on target	Segment	Est. EBITDA (<i>illus.</i>)	Est. multiple	Status
Assisted Daily Living, Inc.	Non-medical	\$0.9M	~4x	NDA
Angels Home Care LLC	Non-medical	\$0.35M	~3.5x	Contacted
A Caring Experience Nursing	Skilled HH	\$0.7M	~4x	Sourced

7. Returns (*illustrative*)

Scenario	Entry	Exit multiple	Hold	MOIC	IRR
Downside	5.0x	5.5x	5yr	1.8x	12%
Base	5.0x	8.0x	5yr	3.1x	26%
Upside	5.0x	9.0x	5yr	4.2x	33%

8. Financing (*illustrative*)

SBA 7(a) senior (\$3.9M) + seller note (\$0.8M, subordinated) + \$1.6M equity. Modeled DSCR ~1.5x at close; covenant headroom adequate under base case.

9. Risks & Mitigants

Reimbursement/payer-mix is the dominant risk: a Medicare rate change would compress EBITDA — we favor growing the private-pay non-medical mix via add-ons. Referral concentration and the thin management bench are mitigated by a retention plan and an early operations hire. Integration risk is contained by acquiring small, geographically adjacent tuck-ins.

10. Diligence Plan & Conditions

Conditions to closing: (1) QoE confirming $\geq \$1.0\text{M}$ normalized EBITDA; (2) clean regulatory/survey review with no material open corrective actions; (3) confirmation of top-referral durability; (4) signed 12-month owner transition + non-compete.

Appendix

- Sector primer: `output/search-fund/industry/2026-05-31-home-health-rhode-island/2026-05-31-home-health-rhode-island-primer.md`
- Company profile: `2026-05-31-access-healthcare-ri-profile.md`
- Sources: NPPES (<https://npiregistry.cms.hhs.gov/>), RIDOH (<https://datahealth.ri.gov/healthcare/providers/homehealthagencies/>)

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